Notice Period and Exit Policy

Document type: policy

Category: exit

Effective date: 2026-04-01

Version: 3.0

Owner: Human Resources, Acme Analytics Pvt Ltd

Note: Fictional sample document created for testing a RAG system. Acme Analytics Pvt Ltd is not a real company.

1. Purpose

This policy describes how an employee can resign, the notice period, notice buyout, handover, the full and final settlement and the other formalities when leaving Acme Analytics Pvt Ltd.

2. How to resign

2.1 An employee who wants to resign must submit the resignation in PeopleHub and inform the reporting manager. A resignation by email alone is not valid.

2.2 The manager must discuss the resignation with the employee within 3 working days. HR will accept the resignation within 5 working days and confirm the last working day in writing.

2.3 An employee can withdraw a resignation within 5 working days of submitting it, if it has not yet been accepted. After acceptance, withdrawal needs the approval of the department head and HR.

3. Notice period

3.1 The notice period depends on the employee's status and band, as in this table.

Employee status or band	Notice period
Employees on probation	30 days
Band A (confirmed)	60 days
Band B (confirmed)	60 days
Band C (confirmed)	90 days
Band D (confirmed)	90 days
Band E (confirmed)	120 days

3.2 The same notice period applies when the company terminates the employment, except in cases of gross misconduct. If the company asks the employee to leave without serving the notice, it pays notice pay in lieu of the period not served.

3.3 Notice days are calendar days, and include weekends and public holidays.

4. Leave during the notice period

4.1 Privilege Leave cannot be used during the notice period to shorten it. If the employee takes leave other than approved Sick Leave during the notice period, the notice period is extended by the number of days of leave taken.

4.2 Casual Leave and Sick Leave can be taken during the notice period only with the approval of the manager.

4.3 The balance of Privilege Leave is paid out as part of the full and final settlement, as explained in the Leave Policy.

5. Notice period buyout and early release

5.1 An employee may ask to leave before the end of the notice period by paying the notice period buyout. The request needs the approval of the manager and HR, and the business may refuse if the work handover is not complete.

5.2 The buyout amount is the gross monthly fixed pay, worked out per day, for each day of the notice period that is not served. It is deducted from the full and final settlement. If the settlement is not enough, the employee must pay the balance before the release.

5.3 The company can waive all or part of the notice period at its discretion. When the company asks an employee to leave early, no buyout is recovered.

6. Handover and exit formalities

6.1 The employee must prepare a knowledge transfer plan with the manager within the first week of the notice period, and must complete it at least 5 working days before the last working day.

6.2 All company assets must be returned on or before the last working day: laptop, charger and accessories, access card, ID card, and any other equipment. The cost of lost or damaged assets is recovered from the full and final settlement.

6.3 Access to email, systems and the VPN is switched off at 6:00 PM on the last working day.

6.4 An exit interview is conducted by the HR business partner during the last two weeks. The feedback is confidential.

6.5 Employees must clear dues with IT, Finance, Administration and the manager using the clearance form in PeopleHub.

7. Full and final settlement

7.1 The full and final (F&F) settlement is paid within 45 days of the last working day, after all clearances are received.

7.2 The settlement includes:

- salary up to the last working day;
- encashment of Privilege Leave balance (monthly Basic divided by 26, per day);
- gratuity, if eligible;
- variable pay, if payable under the Performance Review Policy;
- less any recoveries such as notice buyout, assets, advances and excess leave.

7.3 An employee who completes at least 5 years of continuous service is eligible for gratuity under the Payment of Gratuity Act, 1972. Gratuity is calculated as 15 days of last drawn Basic salary for each completed year of service, using the formula: last drawn monthly Basic multiplied by 15, divided by 26, multiplied by the number of completed years of service.

8. Documents issued on leaving

8.1 The relieving letter and the experience letter are issued within 10 working days of the last working day, after the clearance is complete.

8.2 Form 16 for the part of the year worked is issued by 15 June of the next financial year. The Provident Fund transfer or withdrawal can be done by the employee through the UAN.

9. Health insurance after exit

The Group Medical Insurance cover ends on the last working day. The employee can ask the insurer for a portability option within 30 days. See the Employee Benefits and Insurance Guide.

10. Abandonment of service

10.1 An employee who is absent for 5 or more consecutive working days without informing the manager or HR is treated as having abandoned service.

10.2 HR will send three notices, to the email and the postal address on record, at intervals of 2 working days, asking the employee to explain and resume duty. If there is no response, the employment is terminated for abandonment and the company is not liable to pay the notice period or any other benefits.

11. Termination by the company

11.1 Employment can be terminated for gross misconduct after an inquiry under the Code of Conduct, without notice or notice pay.

11.2 Employment can be terminated for unsatisfactory performance after an unsuccessful 60-day Performance Improvement Plan, with notice as in section 3 or pay in lieu.

11.3 In case of business restructuring, the company follows the law applicable to the employee, and gives notice or pay in lieu together with severance as decided by the management.

12. Obligations after leaving

Confidentiality obligations continue after the employment ends. For 12 months after leaving, a former employee must not solicit Acme employees or clients to leave or move their business. There is no non-compete restriction.

13. Rehire

A former employee can apply again after a cooling-off period of 6 months, if they left in good standing and did not abscond, and had a rating of 3 or above in the last cycle.